

Global ESG Reporting Regulations

April 2024



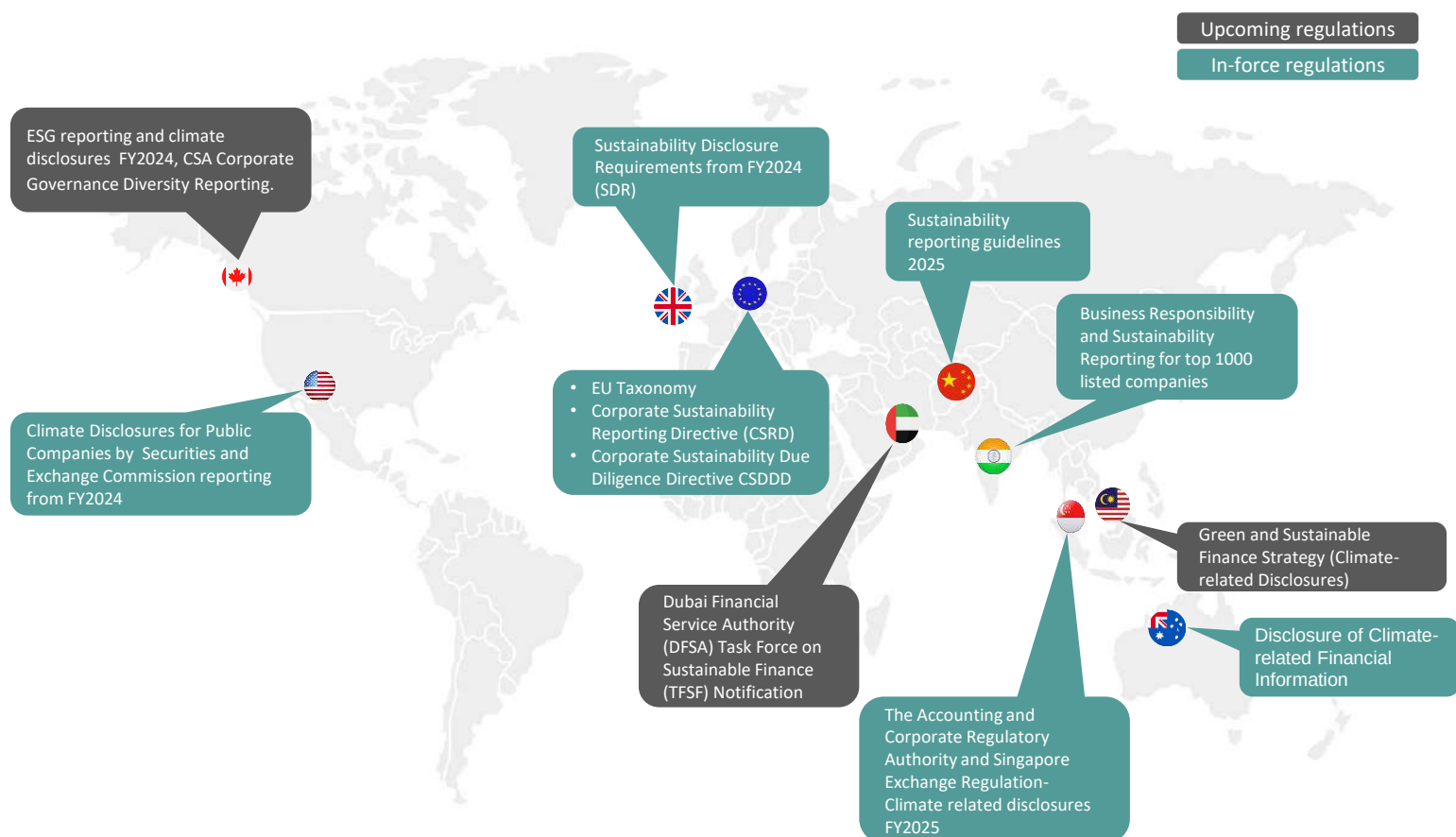
Overview

ESG regulation landscape that you need to know in 2024!

As we enter 2024, it's becoming increasingly clear that Environmental, Social, and Governance (ESG) considerations are no longer peripheral concerns for companies but are now central to corporate strategy worldwide. This year marks a pivotal moment as countries across the globe intensify their focus on ESG reporting regulations, indicating a profound shift rather than a fleeting trend.

In our comprehensive guide, we will delve into the dynamic and evolving landscape of ESG reporting standards, providing insights into the latest updates and developments shaping this global phenomenon. From understanding reporting requirements to anticipating emerging trends, our guide will lead you through the complexities of ESG reporting regulations in countries around the world. Additionally, we provide essential insights on materiality assessment, implementation guidelines, including whether they are mandatory or not.

Globally, the sustainability movement is gaining momentum as regulations and policies emerge



Australia

Disclosure of Climate-related Financial Information

Mandatory Reporting

The AASB proposes mandatory climate-related financial disclosures to support Australia's transition to net-zero. They emphasize transparency, credible transition plans, and alignment with global standards. They also advocate for inclusion of sustainable finance targets and collaboration with regulators for effective implementation.



Implementation Timeline

- **FY 2024 – FY2026** entity who meets three criteria: revenue of **AUD\$500 million or more**, consolidated gross assets of **AUD\$1 billion or more**, having **500 or more employees**, or **NGERA registered corporations**.
- **FY2026 – FY2027** entities with **AUD\$200 million revenue, AUD\$500 million assets, or 250 employees**. Also includes **NGERA registered corporations** or entities controlling **AUD\$5 billion assets**.
- **After July 2027** entities with **AUD\$50 million revenue, AUD\$25 million assets, or 100 employees**. Also includes **NGERA registered corporations**.

Materiality assessment

- **Yes**, companies subject to conduct materiality assessments to identify and prioritize **climate-related risks and opportunities** relevant to an entity's financial reporting.

Assurance requirement

- The AUASB will develop assurance standards in line with international standards, with a **phased implementation approach** set between **July 2024 and June 2030**.
- However **minimum review of GHG emissions disclosures from July 2024 to June 2030** and **full audit** requirements for all climate disclosures from **July 2030** onwards.

Context of regulation

- Climate-related financial disclosures will include information about an **entity's climate-related risks and opportunities**, as required by Australian climate disclosure standards and including Information relating to governance, strategy, risk management and metrics and targets. **Scope 3 emissions** disclosure will be required from the second year of reporting.
- Companies are required to **conduct qualitative climate scenario analysis** for financial years after July 2027, using at least two future **scenarios aligning with Paris agreement**.
- Climate disclosures will be subject to the **existing liability framework** under the Corporations Act and Australian Securities and Investments Commission Act 2001 (Cth) including: director's duties, misleading and deceptive conduct provisions, and general disclosure obligations.

CSA Corporate Governance Diversity Reporting

Mandatory Reporting

The aim of Corporate Governance Diversity Reporting Rule is to influence management teams at Canadian corporations to advance Diversity, Equity, and Inclusion (DEI) in the workplace, as well as to promote greater disclosure on these topics.



Implementation Timeline

- Implemented to the federally incorporated public companies .

Materiality assessment

- Companies **must conduct materiality assessment** based on Diversity, Equity, and Inclusion (DEI) within the organisation.

Assurance requirement

- No assurance required** for Corporate Governance Diversity Reporting.

Context of regulation

- Designed to **advance Diversity, Equity, and Inclusion (DEI)** in Canadian Corporations and promote greater disclosure on these topics. Canada was one of the earliest countries in the world to adopt a diversity disclosure requirement for public companies that goes beyond just gender.
- CSA **establishes doctrine of either comply** with the regulations or provide a detailed explanation if they refuse to comply.
- It promotes compliance by emphasising transparency and accountability. Companies must carefully consider their compliance status and be prepared to **provide compelling explanations for any deviations** from regulatory requirements.

Canada

Climate Disclosures for Federally Regulated financial Institutions

Mandatory Reporting

The guideline mandates Canadian financial institutions to establish governance, risk management processes, and disclosures regarding climate-related physical and transition risks.



Implementation Timeline

- Starting in **2024**, federally regulated institutions, like banks and insurance companies, will be required to disclose their climate-related risks and exposure.

Materiality assessment

- Yes**, the disclosure requirements outlined in Canada's new climate risk management guidelines for federally regulated financial institutions require a materiality assessment.

Assurance requirement

- Currently FRFIs does **not required** to obtain independent external assurance for their climate-related financial disclosures.

Context of regulation

- On **March 2023**, The office of the superintendent of financial institutions (OSFI) published climate disclosures for federally regulated financial institutions.
- Canada's financial institutions will be required to establish **governance and risk management processes to identify and respond to climate change risks**, incorporate this information into their strategies, and disclose their climate-related financial risks.
- FRFIs encourages to **report in line with TCFD** to align with best practices in climate-related financial reporting.
- The disclosures required by this Guideline **must be made once a year** and companies can voluntarily present on frequent basis.

China

Sustainability reporting guidelines

In February 2023 the Shanghai, Shenzhen, and Beijing Stock Exchanges have jointly released new sustainability reporting guidelines for listed companies. These guidelines mandate comprehensive disclosure of ESG-related information, including sustainability strategies, environmental impact, social initiatives, and governance practices.

Mandatory Reporting



Implementation Timeline

- For the **listed companies** reporting is set to begin in **2026**, for the FY2025 reporting period.

Materiality assessment

- China's Sustainability reporting guidelines requires reporting companies to **conduct double materiality assessment**.

Assurance requirement

- The standards require corporations to submit their sustainability reports to **external assurance**.

Context of regulation

- Mandatory reporting requirements under the **new guidelines will apply to larger companies**, including those on the **flagship Shenzhen 100, SSE 180 and Shanghai Science and Technology Innovation 50 index**, as well as **dual-listed companies** with securities on both domestic and foreign markets. Overall, the mandatory requirements **apply to more than 450 companies**, representing around **half of listed market value**.
- The new guidelines require companies to disclose their **scope 1 and 2 greenhouse gas emissions**, their transition plans, decarbonisation targets, **carbon offsets, climate scenario analysis**,
- They also requires companies to disclose their **social and governance disclosures** like anti-corruption and anti-bribery measures.

European Union

European Sustainability Reporting Standard (ESRS)

Mandatory Reporting

The European Commission adopted the Corporate Sustainability Reporting Directive (CSRD) in November 2022, replacing the Non-Financial Reporting Directive (NFRD). CSRD brings stricter reporting guidelines, and a broader scope of businesses are included in the CSRD.



Implementation Timeline

- Reporting starts from **2024 for EU listed companies**.
- EU has **extended the timeline** for **sector-specific standards** and **large non-EU companies** with €150 million turnover in EU and at least one subsidiary in EU **from 2026**.

Materiality assessment

- ESRS requires companies to conduct **double materiality assessment**.
- By incorporating double materiality, companies ensure sustainability reporting covers **financial risks** and **broader societal impacts**, promoting transparency and enabling informed decision-making among stakeholders.

Assurance requirement

- **Limited assurance** from **2025**
- **Reasonable assurance** from the year **2028**

Context of regulation

- The CSRD entered into force on **5 January 2023**, aiming to modernize and strengthen rules on social and environmental reporting for companies. It aligns with the EU's goal of becoming net-zero by 2050.
- CSRD requires companies to report on their strategy, implementation, and performance regarding sustainability issues. This includes aspects such as business models, sustainability risks, due diligence procedures, policies, targets, and performance indicators.
- The CSRD includes **12 sector-agnostic standards**, consisting of **2 cross-cutting** and **10 topical standards**. While companies **must comply** with the general requirements outlined in **ESRS 1 and 2** regardless of materiality, a materiality assessment is necessary for the **10 topical standards**. In total, these standards encompass **1187 data points**.
- Member States will define **penalties for non-compliance** with CSRD, which must be effective, proportionate, and dissuasive. Sanctions may include public declarations, cease-and-desist orders, and administrative fines.

European Union

Corporate Sustainability Due Diligence Directive (CSDDD)

Mandatory Reporting

The aim of this Directive is to bring sustainable and responsible corporate behaviour and to foster human rights and environmental considerations in companies' operations and corporate governance. CSDDD will ensure that businesses address adverse impacts of their actions, including in their value chains inside and outside Europe.



Implementation Timeline

- Between the year **2024–2026** all **EU Members States** will transpose CSDDD **into their national law**.
- It is expected that **CSDDD will come to full effect across EU from between 2026–2027**, making the directives full implementation.

Materiality assessment

- Yes**, the CSDDD requires companies to conduct materiality assessment to evaluate **sustainability risk** associated to their business and **their value chains**.

Assurance requirement

- CSDDD **must release final standards** to determine the requirements for assurance.

Context of regulation

- On March 2024 European commission **approved the revised provisional deal CSDDD** and is currently pending approval by the European Parliament. CSDDD **categorizes businesses into four main groups** for compliance purposes:
 - **Group 1:** EU companies with **over 1000+ employees**.
 - **Group 2:** EU companies with **over 500+ employees and €450 million+** in net annual turnover or revenue.
 - **Group 3:** EU companies operating in defined **high-impact sectors** that do not meet both Group 1 and Group 2 thresholds.
 - **Group 4: Non-EU global companies** active in the EU that meet turnover thresholds aligned with Group 1, generated within the EU.
- To comply companies must integrate **sustainability and human rights due diligence** throughout their business and must **adopt a climate transition plan aligned with the 1.5°C target**, monitor effectiveness, and publicly report on due diligence efforts.
- CSDDD requires **administrative supervision and civil liability**, with EU Member States appointing authorities to oversee compliance and imposing sanctions, including fines.

Business Responsibility and Sustainability Reporting (BRSR)

Mandatory Reporting

In 2023, India introduced the Business Responsibility and Sustainability Report (BRSR) as a comprehensive framework for environmental, social, and governance (ESG) reporting. BRSR aligned with global reporting standards, it aims to enhance corporate transparency and accountability.



Implementation Timeline

- From the **FY 2025 listed companies** in India must report according to BRSR.

Materiality assessment

- No, BRSR do not requires companies** to conduct materiality assessment.

Assurance requirement

- The Securities and Exchange Board of India (SEBI) has mandated that the **top 150 companies in India must have reasonable assurance** in BRSR Core for **FY 2023-24**.

Context of regulation

- **On July 12, 2023**, the **SEBI** has published the updated Business Responsibility and Sustainability Report (BRSR) Core Framework the **top 1000 listed businesses** must report under BRSR as **part of their annual report**.
- The BRSR mandates companies to disclose their **ESG performance through 140 questions**, offering a comprehensive framework for effective disclosure.
- **General disclosures cover fundamental company information**, while **management and process disclosures** the company is required to disclose information on **policies and processes relating to the NGRBC Principles** concerning leadership, governance, and stakeholder engagement.
- **Principle-wise performance disclosures** delve into specific qualitative and quantitative data on **nine NGRBC principles** this section requires companies to demonstrate their intent and commitment to responsible business conduct through actions and outcomes.

Japan

Sustainability disclosure rules

Mandatory Reporting

On March 2023, Financial Services Agency (FSA) published were made effective representing the first stage of mandatory sustainability disclosure rules in Japan. These rules mandated the creation of a new section for sustainability-related information in the annual statutory securities report.



Implementation Timeline

- Reporting starts from **FY2023**

Materiality assessment

- **Yes**, companies needs to conduct materiality assessment to evaluate their business sustainability risk

Assurance requirement

- Sustainability disclosures rules **do not require third-party assurance**.

Context of regulation

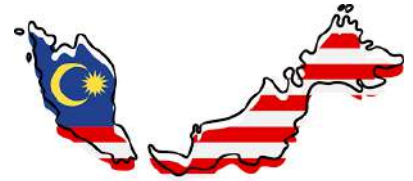
- Under new rules in Japan, approximately **4,000 listed companies**, including foreign ones listed in Japan, must disclose sustainability-related information following the pillars of **the Task Force on Climate-related Financial Disclosures (TCFD)**.
- The required disclosures encompass a wide range of topics including environment, society, employee welfare, human rights, anti-corruption measures, governance, cybersecurity, and data security.
- While **Strategy and index and target are not mandatory**, if a company determines they are material against the frameworks for "governance" and "risk management," disclosure becomes necessary.
- Companies not finding materiality for these items are encouraged to disclose their conclusion and reasoning.

Malaysia

National Sustainability Reporting Framework for Malaysia (NSRF)

Mandatory Reporting

The Advisory Committee on Sustainability Reporting (ACSR), chaired by the Securities Commission Malaysia (SC), has published a consultation for the adoption of the ISSB's standards as the basis for a sustainability reporting framework. To foster the availability of reliable, comparable, and decision-useful information on material sustainability risks and opportunities of companies by using the ISSB Standards as the baseline standard.



Implementation Timeline

- **Listed companies** will start their reporting from the financial year **2025**.
- **ACE market listed companies** will start their reporting from the financial year **2027**.
- **Non-listed Companies** with **RM2 billion and Above** Revenue will start the reporting from the financial year **2027**.

Materiality assessment

- **Yes**, NSRF requires companies to conduct materiality assessment to **evaluate their business sustainability risk**.

Assurance requirement

- **External assurance is not currently mandated** by Bursa Malaysia's Listing requirements for sustainability statements. Instead, **issuers must provide a Statement of Assurance**, indicating whether the statement underwent internal review by the internal auditor or independent assurance.
- The ACSR suggests prioritizing **Scope 1 and Scope 2 greenhouse gas emissions** for external **limited assurance** two years after adopting IFRS S2.

Context of regulation

- The **ISSB standards** would only be a **part of the proposed National Sustainability Reporting Framework (NSRF)** the aim of this adoption is to **complement** other reporting frameworks, such as the Global Reporting Initiative (**GRI**) standards or industry-based standards issued by the Sustainability Accounting Standards Board (**SASB**), to meet the information needs of different stakeholders.
- NSRF requires availability and the flow of **sustainability information across the supply chain**. disclose **material sustainability risks and opportunities** of companies using the ISSB Standards.
- The **consultation paper seeks feedback** on implementation scope, timing, transition reliefs, and sustainability disclosure assurance issues.

Singapore

Climate related disclosures

On February 28, 2024, the Accounting and Corporate Regulatory Authority (ACRA) and Singapore Exchange Regulation (SGX RegCo) issued regulations requiring mandatory climate-related disclosures (CRD). Aiming to strengthen sustainability capabilities and support companies in the green transition, potentially attracting new markets and financing.

Mandatory Reporting



Implementation Timeline

- All **listed issuers** to report from **2025** and **large non-listed companies** from **2027**.

Materiality assessment

- **Yes**, the Singapore Climate related disclosures requires companies to conduct materiality assessment for the **climate related risk** of their organization.

Assurance requirement

- External **limited assurance on Scope 1 and 2 GHG emissions** will be required beginning in **FY 2027** for listed entities.
- For **large non-listed** entities assurance from **FY 2029**.

Context of regulation

- ACRA and SGX RegCo requires public and private companies to provide **climate-related disclosures aligned with TCFD**. Issuers must include a policies, practices, performance, targets, board statement, governance structure for sustainability, and **alternative actions if unable to report**.
- **Large non-listed** entities whose parent company already reports climate-related disclosures under **ISSB-aligned** local reporting standards or equivalent standards like **ESRS** will be exempt from reporting and filing climate-related disclosures, subject to certain conditions.
- **Transitional relief** will be provided to large non-listed entities whose parent company reports climate-related disclosures under other international standards and frameworks. Certain industries, like **finance, agriculture, energy, materials, and transportation**, are required to include **climate-related disclosures without exception**.
- The new reporting requirements will **not apply to small and medium enterprises (SME)**, financial support has also been announced for SMEs that wish to begin climate-related reporting.

Sustainable finance regulatory framework

ADGM (Abu Dhabi Global Market) has implemented its sustainable finance regulatory framework on June 2023, comprising the region's most comprehensive ESG disclosure requirements and a regulatory framework for funds, discretionary managed portfolios, bonds and sukuk designed to accelerate the transition of the UAE to net zero greenhouse gas emissions.

Voluntary Reporting



Implementation Timeline

- Reporting started from **FY2023**.

Materiality assessment

- ADGM does **not require** companies to conduct **materiality assessment**

Assurance requirement

- Annual independent **third-party assurance**, **Fund reserved** for qualified investors (QIFs) may **self-attest** that the investment requirement for such fund has been met.

Context of regulation

- ADGM's framework includes comprehensive environmental, social, and governance (ESG) disclosure requirements for companies operating within its jurisdiction. This move aims to enhance transparency and accountability in sustainable finance practices.
- The framework encompasses rules on **sustainability-orientated investment funds**, managed portfolios and bonds as well as requirements for environmental, social and governance (ESG) disclosures by ADGM companies.
- The framework complements ADGM's existing regulation of **carbon offsets**, facilitating the establishment of the world's first regulated carbon offsets exchange and clearing house in ADGM.

United Kingdom

Sustainability Disclosure Requirements (UK SDR)

Mandatory Reporting

On 28 November 2023, the Financial Conduct Authority (FCA) published its Policy Statement setting out its final rules on UK Sustainability Disclosure Requirements (SDR) and investment labels. Aims to prevent greenwashing, including sustainable investment labels, disclosure requirements, and restrictions on sustainability-related terms in product naming and marketing.



Implementation Timeline

- **FCA-regulated firms** are required to adhere to **SDR anti greenwashing rule** from **31 May 2024**.
- Firms can **begin to use labels**, with **accompanying disclosures** from **31 July 2024**.
- **Naming and marketing rules** come into force, with **accompanying disclosures** from **2 December 2024**.
- Ongoing **product-level and entity-level disclosures** for firms with AUM > £50bn from **2 December 2025**.
- **Entity-level disclosure rules** extended to firms **with AUM > £5bn** from **2 December 2026**.

Materiality assessment

- **Yes**, UK Sustainability Disclosure Requirements require companies to conduct **materiality assessment**.

Assurance requirement

- SDR does **not require external assurance** rather encourages asset management firms' **internal Audit** and Risk and Compliance teams to align their arrangements with the new regime before the 31 July 2024 implementation date.

Context of regulation

- The SDR disclosures includes **consumer-facing disclosures, pre-contractual disclosures, ongoing product-level disclosures, entity-level disclosures based on TCFD, ISSB and GRI Standards** are documents that may be relevant for firms to help determine what to disclose.
- Funds can voluntarily opt for a label. **Consumer-facing disclosure** for products not using labels, but with sustainability-related terms in their names and marketing, must include a statement to **clarify that the product does not have a label**.
- Firms with a **sustainability objective** must identify and disclose pursuing sustainability outcomes **through Key Performance Indicators (KPIs)**. There is a requirement to identify, disclose and explain any other assets, such as cash or derivatives, held in the product for other reasons.

SEC Climate Related Disclosures

Mandatory Reporting

SEC adopts to climate related disclosures require US business and investments fund managers to report on their environmental impact and inform investors about the risk of climate change to their business and financial outcome.



Implementation Timeline

- For **large accelerated filers** all proposed disclosures including **Scope 1 and 2 GHG emissions** from **FY 2023** and **Scope 3 emissions** from **FY 2024**.
- For **accelerated filers** **Scope 1 and 2 emissions** from **FY 2024** and **Scope 3 emissions** beginning with **FY 2025**.
- For **smaller reporting** companies **scope 1 and 2 emissions** from **FY 2025**.

Materiality assessment

- SEC requires reporting companies to conduct materiality assessment.

Assurance requirement

- SEC **mandates assurance** for climate disclosures.
- **Three** years after initial disclosures, registrants must undergo **limited assurance**.
- **Large accelerated filers** must undergo **reasonable assurance** **four** years later.

Context of regulation

- On March 6, 2024, the SEC adopted **new climate disclosure rules**. Several changes were made from the initial proposal, including **withdrawal of granular line-item analysis** for financial statement disclosures and **scope 3 GHG emissions disclosure requirements**.
- SEC disclosures require **financial statements** and **climate-related disclosures**. It includes governance, strategy, business model, and outlook disclosures and requires quantitative and qualitative information about material expenditures, financial estimates, climate-related risks, transition plans, and targets.
- Companies must disclose the **roll-forward of carbon offsets** and **renewable energy credits** in their financial statements if they are a key part of meeting climate-related targets.
- Disclosures should be tagged in **Inline XBRL format** to facilitate accessibility and analysis by investors and market participants.



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ecoPRISM, revolutionizes sustainability management for enterprises by automating data collection, generating advanced insights, and facilitating scenario simulations for actionable strategies. With a SaaS-based approach, ecoPRISM empowers businesses to set and monitor ambitious targets while ensuring compliance with regulatory requirements, including the new CSRD regulation. As business leaders navigate their ESG transformation journey, ecoPRISM provides essential tools and expertise for sustainability success



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